

BUSINESS PLAN: Support guide & Instructions

General aspects

This guide is intended as an indicative document, so the working groups should adjust and or modify it depending on their companies circumstances (activity sector, market, country of operation, etc.)

As discussed in class, the Business Plan will be carried out throughout the course, as indicated in the schedule of the subject.

At the end of the course, the following documents are due:

- Business Plan report
- Business Plan presentation

The final report should be in agreement with the following:

- 20 to 25 pages written with a word processor, with 12-point font, 1.5 line spacing, margins of 2.5 on each side and proof corrected.
- In addition to the previous content, the document must contain:
 - 1) Title Page
 - 2) Contents / Index
 - 3) Annexes. Including the support excel file for the financial plan is a must.
 - 4) References (located at the end of the document and must include references to both physical documents-books, articles, etc, as documents on-line web--pages).

The final presentation should be in agreement with the following:

- Presentation file (supported by PowerPoint or Acrobat reader files) of 8 minutes duration.
- The support file will be the one previously submitted to the corresponding task. So no possibility to use a new or updated one.
- In the presentation all group members should be involved.
- Questions from both your classmates and the professor will follow, being able to decide which member of the group has to answer the question.

Delivery of the complete work (report and presentation file) will be due as already informed in the course presentation (exact date to be confirmed), through the corresponding task. Just one submission of the documents per group is needed.

NOTE: All the documents will be submitted to the Turnitin anti-plagiarism system. A ratio of 20% and above as a result from Turnitin will obtain a zero in this part of the course.

Business Plan Guide

Please remember that, as already said in class, this guide is indicative, so the working groups could adjust the final contents to its business reality.

1) Invent / select a company.

Describe the company's field of activity (product or service).

2) Analyze the sector in which the company operate.

Analyze the generic environment, highlighting the strategic factors of the chosen activity.
Analyze the specific environment of the chosen activity, following the scheme of the "Five forces of Porter."

3) Perform the internal analysis of the company.

Analyze the company defining its main strengths and weaknesses, to properly define the strategy.

4) Define the strategy.

Based on the former analysis, define the strategy of the company. Both corporate and competitive.

5) Select the legal form of the company

Choose the most appropriate legal form for the company, depending on company's situation, reality and target.

6) Operations definition.

Define and describe the company's operations. Choosing the most convenient production system (if the company produces anything). Select the main competitive dimensions and state their relationship with the competitive advantages of the company.

The analysis should include the cost analysis of the whole operations (including production). To develop this section the group should invent / assume the necessary data, for a project duration of at least 5 years.

7) Marketing Plan.

Strategic Marketing:

- a. Define the criteria and segmentation strategy for the market,
- b. Define the company's positioning strategy

Marketing Mix:

- a. Product Strategy (Definition and attributes, product line, life cycle)
- b. Distribution Strategy (Define the distribution strategy)
- c. Pricing (Set the price that'll be used to calculate the break-event point).
- d. Communication Strategy (Define the most suitable method: advertising, promotions, etc).

8) Financial plan, including investments.

Considering all the previous information, the financial plan should detail all the financial statements of the company for 5 years (Income Statement, Balance Sheet and Cash Flow), being the first one quarterly. Besides, the following values should be calculated:

- a. Costs associated with the activity: fixed and variable costs.
- b. The break-even point of the activity.
- c. Financial structure and company's financial risk.
- d. Economic structure.
- e. NPV, PayBack and IRR of the investment.
- f. Economic and financial profitability and financial leverage of the company along the 5 years of the project.

The applied tax rate should be consistent with the situation of the company (country of operation, legal form, etc.). The VAT should not be considered for the calculations.

9) Organizational Structure.

Create an of Organization and Human Resources plan. Include the organization chart for the first year of the company's activity and forecast the HR needs for the following years, indicating status and expected salaries.